FALLEN EMPIRES

Plated: the Shark Tank deal sheet

Key facts

- Founders: Nick Taranto and Josh Hix, Harvard Business School classmates; company founded in 2012.
- Shark Tank US, season 5, episode 22 (aired April 4, 2014).
- The ask: $500,000 for 4% (a $12.5M valuation).
- Mark Cuban offered $500,000 for about 5.56% plus advisory shares (about a $9M valuation). It was accepted on air but never closed.
- Kevin O'Leary invested later (amount undisclosed).
- Series B: $35 million, July 2015.
- Acquisition: Albertsons, September 2017. The price is reported as $200 million (TechCrunch) to $300 million (Wikipedia, Mashed): outlets disagree.
- November 2019: Albertsons ended the home-delivery subscription; last delivery November 27, 2019. The brand itself was kept for in-store kits.

3 things this case shows

1. A deal agreed on air is not a signed deal: terms can change after filming.
2. Raising from several investors can replace one missing deal.
3. Being acquired is not the same as the product surviving.

2 mistakes to avoid

1. Treating a TV handshake as money in the bank.
2. Confusing the acquisition price with what the company is worth later.

Glossary

- Valuation: amount invested divided by the share received ($500,000 / 4% = $12.5M).
- Series B: a later venture round, after the first outside rounds.
- Advisory shares: a small equity grant paid for an investor's advice.

Sources: Wikipedia "Plated (meal kits)"; TechCrunch (Sept 20, 2017); Mashed (Oct 7, 2022); FoodNavigator (Nov 13, 2019). Educational, not investment advice.

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